13. Income Taxes

Income taxes were as follows:

	Year Ended December 31,	
	2023	2022
	(in thousands)	
Current tax expense:		
Federal	$ —	$ —
State	93	34
Total current tax expense	93	34
Deferred:		
Federal	—	(20)
State	—	(1)
Total deferred tax expense	—	(21)
Total tax expense	$ 93	$ 13

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The significant categories of temporary differences that gave rise to deferred tax assets and liabilities were as follows:

	December 31,	
	2023	2022
	(in thousands)	
Deferred tax assets:		
Net operating loss carryforwards	$ 58,042	$ 54,628
Capitalized research and development costs	56	1,249
Stock-based compensation	334	205
Accrued expenses	421	591
Charitable contributions	445	416
Operating lease liabilities	308	218
Other	2,061	868
Gross deferred tax assets	61,667	58,175
Less: valuation allowance	(60,916)	(57,271)
Total deferred tax assets	751	904
Deferred tax liabilities:		
Intangible assets	483	713
Operating lease right-of-use assets	268	191
Total deferred tax liabilities	751	904
Total net deferred tax assets	$ —	$ —

Deferred income taxes reflect the net tax effects of (a) temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes, and (b) operating losses and tax credit carryforwards. Net deferred tax assets consisted primarily of net operating loss carryforwards of $58.0 million and $54.6 million as of December 31, 2023 and 2022, respectively, related to U.S. federal and state taxes. A valuation allowance is provided when it is more likely than not that the deferred tax assets will not be realized. As of December 31, 2023 and 2022, the Company held valuation allowances against its deferred tax assets due to the uncertainty of realizing future benefits from its net operating loss carryforwards and other deferred tax assets. The

valuation allowance increased by approximately $3.6 million and $4.5 million during the years ended December 31, 2023 and 2022, respectively.

U.S. federal and state net operating loss carryforwards of approximately $222.9 million and $186.3 million, respectively, for income tax purposes are available to offset future taxable income as of December 31, 2023. $198.4 million of the U.S. federal net operating losses can be carried forward indefinitely and are available to offset 80% of future taxable income. If not used, these federal carryforwards will begin to expire in varying amounts beginning in 2037. The state net operating loss carryovers will begin to expire in 2038 and will continue to expire through 2042.

The Tax Reform Act of 1986 and similar California legislation impose substantial restrictions on the utilization of net operating losses and tax credit carryforwards in the event that there is a change in ownership as provided by Section 382 and Section 383 of the Internal Revenue Code ("IRC") and similar state provisions. Such a limitation could result in the limitation and/or expiration of the net operating loss carryforwards and tax credits before utilization, which could result in increased future tax liabilities when the Company becomes taxable for federal or state purposes. The Company has experienced ownership changes within the meaning of Section 382 of the IRC at various dates from 2015 through 2019.

The Company had no uncertain tax positions as of December 31, 2023 and 2022. As of December 31, 2023, the Company's tax filings are generally subject to examination in major tax jurisdictions.

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The reconciliation between the provision for income taxes at the statutory rate and the provision for income taxes at the effective tax rate is as follows:

	Year Ended December 31,	
	2023	2022
	(in thousands)	
Tax expense at United States statutory rate	21.0 %	21.0 %
Increase (decrease) in tax resulting from:		
State taxes, net of federal effect	2.8 %	1.4 %
Change in valuation allowance	(21.5)%	(9.1)%
Stock-based compensation	(1.0)%	(12.3)%
Change in fair value of derivative liability	— %	(2.7)%
Transaction costs – success-based	— %	1.8 %
Other	(2.0)%	(0.1)%
Total	(0.7)%	— %